BACKGROUND REFERENCE

Context

Historical material retained for completeness; determine relevance from substance.

Historical Context

Background Reference 4 is retained as a dated historical record describing an earlier operating, legal, valuation, or financing context.

Its facts may explain chronology or terminology but require reconciliation to current source-of-record documents before use in a transaction conclusion.

The record identifies its original audience, preparation date, source materials, known limitations, and the later documents that replaced or supplemented it.

Contemporaneous summaries, attachments, and follow-up correspondence are indexed separately so the reviewer can distinguish original evidence from later interpretation.

1. What this file describes and why it is retained

This is the read-me that accompanied the company's first consolidated financial model, written on 2022-11-30 by the finance manager who built the model, for the audience of whoever inherited it. It describes how the workbook was laid out, where its inputs came from, what it deliberately did not attempt, and the conventions its author applied. It is retained because later models were built from its structure and because two of its conventions were carried forward.

The model itself was retired when the company moved to its current planning workbook, and the retired file is held in the finance archive rather than in the data room. This read-me therefore describes a file a reader cannot open here, which is stated plainly so no reader spends time looking for it. Requests for the archived file go to the finance function.

Nothing in this read-me is a financial statement, a forecast or a projection. It contains no amounts and no results, by design: the author's stated view was that a read-me describing results would be read as a summary of them and would be out of date the first time the model was run again.

2. Layout of the retired workbook

The workbook separated inputs, calculation and output into distinct groups of sheets, with a single input sheet per source system and no input value entered anywhere else. The author records that this was the main design decision and that it was made after an earlier workbook had proved impossible to review, because its assumptions were scattered through its formulas.

Calculation sheets were organised by subject rather than by period, so that revenue, headcount, cost of delivery and working capital each had their own sheet running across all periods. The author notes that this made the period-on-period view harder to read and that a summary sheet was added for that purpose, with the warning that the summary contained no calculation of its own.

Outputs were produced as fixed reports with no live links to any other file, and each output carried the date it was produced and the version of the workbook that produced it. The author records that this convention was introduced after two versions of an output had circulated with the same title and different contents.

3. Inputs, sources, and the conventions the author applied

Inputs came from the accounting system for historical periods, the customer records for deployment and renewal timing, the payroll records for headcount, and management judgement for everything forward-looking. The author distinguishes the first three as sourced and the fourth as judgement, and records that the model marked every judgement input in a single colour so a reviewer could find them.

The conventions the author applied are described in general terms only: that periods were closed and never extended to capture a later event, that each input was carried at the precision of its source, and that any rounding was applied at the point of reporting rather than inside the calculation. Two of these were later adopted in the firm's own modelling conventions and are properly cited from that document rather than from this read-me.

Sourced inputs were refreshed on a stated cadence and judgement inputs were reviewed with the budget holder who owned them, and the author records which budget holder owned each. That ownership list is the part of this read-me that later readers have found most useful, because it identifies who to ask about an assumption rather than leaving a reader to work backwards from the sheet it appears on.

The author notes two inputs that were never satisfactorily sourced: the timing of renewals at the earliest customers, which came from a manually maintained list, and the attrition assumption for field technicians, which was the author's own estimate. Both are flagged in the workbook and both are called out here so that a reader who opens the archived file knows where its weakest inputs were.

The author records that the model contained one circular calculation, that it was resolved by iteration, and that the iteration settings were noted on the calculation sheet because a reviewer who changed them would get a different answer. No tolerance or setting value is reproduced here; the note on the retired sheet is the record of what was used.

4. Known limitations and what replaced this model

The author recorded four limitations: the model had never been independently re-performed, its customer input relied on a manual extract that was not reconciled to the accounting records, its forward periods carried no scenario capability, and it had no change log for the period before the read-me was written. The absence of a change log for that period cannot now be remedied.

The table below lists the documents and files that replaced the retired model and this read-me. A reader who needs the company's financial history should use the audited statements, and a reader who needs its planning basis should use the current planning workbook and its own documentation; neither purpose is served by this file.

Table 4.1 - Files and documents that replaced the retired model

Replacement	In use from	Owner	Documentation	What it replaced
Current planning workbook	2024-07-15	Finance function	Own read-me and change log	The retired model in full
Reconciled customer data extract	2024-10-01	Commercial operations	Extract specification	The unreconciled manual extract
Scenario overlay workbook	2025-02-24	Finance function	Overlay documentation	The absence of scenario capability
Audited financial statements	2025-04-18	Independent auditors	Audit report	Any historical figure in the model
Firm modelling conventions memorandum	2026-04-06	Head of valuation	The memorandum itself	The conventions described in section 3

5. Access to the archived model and the conditions on its use

The retired workbook is held in the finance archive and is released on request to a named recipient, unaltered and read-only, together with a copy of this read-me. It is released for one purpose only: to establish what a historical output was built from. Requests are logged, and the log records the recipient and the reason rather than merely the date.

The file is not released for computation. A recipient who needs a calculation the retired model performed rebuilds it in the current planning workbook, on the conventions now in force, and cites the retired model as the source of the historical inputs; running the retired file and quoting its output would produce a figure on conventions the firm no longer applies.